

Ritts Wedding Memo / Mythos — V3b variant (MU 1350C, SKHY restored, BA in for LMT)

Prepared for: Donald B. Ritts III | Date: October 2, 2026 | Book size: \$5,000 | Entry: Mon Oct 5 '26 | Exit: Mon Nov 16 '26 (42-day hold) | Contract expiry: Nov 20 '26 (46 DTE at entry, 4 DTE at exit) | Companion to V3 (same date)

1. Executive Summary

This variant models the alternative flagged in V3's concentration note and adds the user's BA-for-LMT swap. Three changes versus V3: (i) the MU anchor moves one strike out to **MU Nov 20 '26 1350C** (\$2,355, delta 0.182), which breaks the 0.20 delta floor but frees \$710; (ii) **SKHY 230C is restored** (\$610); (iii) **BA takes the LMT slot** as the second aerospace/defense leg alongside RTX (BA Nov 20 '26 220C, \$280). To fit all seven legs in \$5,000 the delta floor is relaxed to 0.18 for MU and BA only; NVDA, RTX, MRVL, SKHY and GDX hold their V3 strikes at the 0.20 floor. GDX drops from 2 contracts to 1. Deployed \$4,976; cash \$24. Ladder (Base +18% uniform; Bull +18%+1 σ ; Gamma +18%+2 σ , 42-day σ per name): **+38% / +638% / +1426%** (\$6,905 / \$36,898 / \$76,279) versus V3's +53% / +628% / +1309%. The variant gives up 15 points of Base return (the 1350C is deeper out of the money at a +18% print) and picks up 116 points of Gamma Upside, while cutting MU's share of Bull P&L from 54% to 41%.

2. Book Construction (Nov 20 '26 calls, entry Oct 5 '26)

Leg	Ctr	Spot	Entry \$/ctr	Delta	Gamma	Gamma/\$ prem	Mid-IV	Call OI	Deployed \$	vs V3
MU 1350C	1	1,091.89	\$2,355	0.182	0.00118	0.005	57.7%	7,386	\$2,355	1300C→1350C
NVDA 255C	1	231.59	\$415	0.244	0.01119	0.270	34.1%	11,600	\$415	same
RTX 200C	1	186.12	\$291	0.272	0.01755	0.603	28.6%	1,928	\$291	same
BA 220C	1	192.35	\$280	0.187	0.01034	0.369	38.0%	7,602	\$280	new
MRVL 330C	1	269.30	\$833	0.233	0.00485	0.058	66.1%	965	\$833	same
SKHY 230C	1	191.40	\$610	0.234	0.00746	0.122	60.5%	2,222	\$610	new
GDX 98C	1	86.13	\$192	0.227	0.02325	1.211	42.4%	3,000	\$192	x2→x1
Cash / dry powder	—	—	—	—	—	—	—	—	\$24	\$12
Total									\$5,000	

BA strike screen (Nov 20 '26). BA trades at 38.0% mid-IV against 29.4% 30-day realized (IV sits 9 points rich, the widest premium to realized in the book). The 220C is the max gamma-per-premium strike at the relaxed 0.18 floor and carries the deepest open interest in the BA chain (7,602). The 215C clears the 0.20 floor but at \$378 would push the book \$74 over \$5,000 unless the GDX leg were released.

Strike	Mid \$	IV	Delta	Gamma	Gamma/\$ prem	Cost/ctr	Call OI	Verdict
205C	6.38	38.2%	0.358	0.01431	0.2243	\$638	2,036	clears floor, lower gamma/\$
210C	4.95	38.2%	0.294	0.01320	0.2667	\$495	3,550	clears floor, lower gamma/\$
215C	3.78	37.8%	0.234	0.01188	0.3144	\$378	1,096	clears 0.20 floor; does not fit
220C	2.80	38.0%	0.187	0.01034	0.3693	\$280	7,602	SELECTED (0.18 floor)
225C	2.19	38.1%	0.146	0.00880	0.4017	\$219	3,381	fails 0.18 floor

Why BA over LMT in this slot. At the Nov 20 '26 expiry LMT's best strike screens at 0.086 gamma/\$ with 35–137 OI; BA 220C screens at 0.369 gamma/\$ (4.3 $\times$) with 7,602 OI, for \$280 against LMT's \$655–\$930. BA's 2-year realized vol (38.2%) is 9 points above LMT's (29.0%) and its max 6-week move (+50.7%) is 17 points higher, so the same +18% Base threshold has been hit 10% of the time versus LMT's 7%.

3. Scenario Ladder & Portfolio Payout (marked Nov 16 '26, 4 DTE, Black-Scholes at entry IV)

Leg	Flat (0%)	Base +18%	Bull (+18%+1 σ)	Gamma Upside (+18%+2 σ)
MU 1350C (x1)	-2,355 (-100%)	-1,338 (-57%)	+13,049 (+554%) @+37.6%	+34,290 (+1456%) @+57.1%
NVDA 255C (x1)	-414 (-100%)	+1,433 (+345%)	+4,103 (+989%) @+29.6%	+6,782 (+1634%) @+41.1%
RTX 200C (x1)	-289 (-99%)	+1,680 (+577%)	+3,486 (+1198%) @+27.7%	+5,291 (+1818%) @+37.4%
BA 220C (x1)	-280 (-100%)	+535 (+191%)	+2,906 (+1038%) @+30.9%	+5,386 (+1924%) @+43.8%
MRVL 330C (x1)	-832 (-100%)	-417 (-50%)	+4,019 (+483%) @+40.4%	+10,036 (+1205%) @+62.8%

Leg	Flat (0%)	Base +18%	Bull (+18%+1σ)	Gamma Upside (+18%+2σ)
SKHY 230C (x1)	-609 (-100%)	-214 (-35%)	+2,920 (+479%) @+38.5%	+6,841 (+1122%) @+59.0%
GDX 98C (x1)	-192 (-100%)	+226 (+118%)	+1,414 (+737%) @+32.4%	+2,653 (+1382%) @+46.8%

Scenario	V3b P&L	V3b Ending Value	V3b Return	V3 Return (ref.)	Diff vs V3
Flat (0%)	-4,971	\$29	-99.4%	-99.6%	+0.2 pts
Base (+18%)	+1,905	\$6,905	+38.1%	+52.9%	-14.8 pts
Bull (+18%+1σ)	+31,898	\$36,898	+638.0%	+628.1%	+9.8 pts
Gamma Upside (+18%+2σ)	+71,279	\$76,279	+1425.6%	+1309.5%	+116.1 pts

MU anchor-leg sensitivity (Nov 16 mark, 1350C). MU is 47% of the book (V3: 61%). 42-day 1σ at 57.7% IV = 19.6% (\$214).

Breakeven at the 4-DTE mark is MU ≈ \$1,330 (+21.8%; vs. \$1,374 / +25.8% at expiry). Other six legs held at the Base (+18%) column for the book-level row.

MU on Nov 16	Move	Call value	MU leg P&L	MU leg return	Book P&L (others @ Base)	Book return	V3 book return
\$1,092	+0.0%	\$0	-2,355	-100%	+888	+18%	+2%
\$1,201	+10.0%	\$79	-2,276	-97%	+967	+19%	+8%
\$1,288	+18.0%	\$1,017	-1,338	-57%	+1,905	+38%	+53%
\$1,365	+25.0%	\$4,100	+1,745	+74%	+4,988	+100%	+151%
\$1,419	+30.0%	\$7,944	+5,589	+237%	+8,832	+177%	+247%
\$1,502	+37.6%	\$15,404	+13,049	+554%	+16,292	+326%	+408%
\$1,583	+45.0%	\$23,394	+21,039	+893%	+24,282	+486%	+569%
\$1,638	+50.0%	\$28,844	+26,489	+1125%	+29,732	+595%	+678%
\$1,716	+57.1%	\$36,645	+34,290	+1456%	+37,533	+751%	+835%
\$1,911	+75.0%	\$56,140	+53,785	+2284%	+57,028	+1141%	+1224%
\$2,184	+100.0%	\$83,437	+81,082	+3443%	+84,325	+1687%	+1770%

4. Backtest: Historical Frequency of Modeled 6-Week Moves

Overlapping 6-week (42-day) forward returns from 2 years of weekly closes (n=99 windows per name, IBKR data through the 9/28/26 bar). Thresholds use each leg's V3b entry IV. SKHY (13 weekly bars since listing) is excluded; LMT shown for reference as the leg BA replaces.

Ticker	Real. Vol	Entry IV	Mean 6wk	Max 6wk	Base thr.	Hit Base	Bull thr.	Hit Bull	Gamma thr.	Hit Gamma
MU	67.1%	57.7%	+18.2%	+113.4%	18%	40%	37.6%	23%	57.1%	8%
NVDA	39.9%	34.1%	+3.7%	+43.6%	18%	13%	29.6%	2%	41.1%	1%
RTX	25.9%	28.6%	+3.1%	+18.6%	18%	2%	27.7%	0%	37.4%	0%
BA	38.2%	38.0%	+2.4%	+50.7%	18%	10%	30.9%	1%	43.8%	1%
MRVL	62.2%	66.1%	+10.7%	+87.6%	18%	34%	40.4%	13%	62.8%	6%
GDX	44.7%	42.4%	+6.2%	+39.7%	18%	22%	32.4%	3%	46.8%	0%
LMT*	29.0%	28.8%	+0.0%	+33.8%	18%	7%	27.8%	4%	37.5%	0%

* LMT not in the book; shown as the leg BA replaces.

Key findings:

- BA** clears the +18% Base case in 10% of windows (LMT: 7%; RTX: 2%), making it the strongest of the three aerospace/defense candidates on historical frequency; its Bull (+30.9%) and Gamma (+43.8%) thresholds each printed once in 99 windows (max +50.7%). Entry IV (38.0%) is in line with 2-year realized (38.2%).
- MU 1350C** shifts the leg's thresholds by only 0.3 points versus the 1300C (Bull +37.6%, Gamma +57.1%), so hit rates are unchanged at 40% / 23% / 8%; what changes is the payoff shape: at a +18% print the 1350C loses -57% versus -16% for the 1300C, while at +57% it returns +1456% versus +1242%.
- Two memory legs (MU + SKHY) now sit side by side: 59% of premium is memory/HBM beta. SKHY's Oct 5–Nov 16 window contains SK Hynix's Q3 report (late Oct), a dated catalyst MU itself does not have in-window.
- In-window dated catalysts (approx.): BA Q3 print ~Oct 21–22 and RTX Q3 ~Oct 20–21 (both aerospace/defense legs trade through earnings); FOMC Oct 27–28; SK Hynix Q3 late Oct; NVDA Q3 (~Nov 18–19) and MU fiscal Q1 (Dec) fall after the Nov 16 exit.

5. Assessment

V3b is the broader book: seven legs, five sectors of convexity (memory ×2, GPU, AI networking, aerospace/defense ×2, gold miners), MU at 47% of premium rather than 61%, and MU contributing 41% / 48% of Bull / Gamma P&L (V3: 54% / 58%). The price of the breadth is in the Base column: +38% versus +53%, because the 1350C needs MU above \$1,330 on Nov 16 to be worth its premium versus \$1,299 for the 1300C. On the MU-only axis (other legs held at Base) V3 leads at every MU print by a near-constant ~80 points, because the 1300C carries \$5,000 more intrinsic per contract than the 1350C at any MU level above both strikes while costing \$710 more. V3b overtakes V3 only when the satellite legs also run (Bull +10 pts, Gamma +116 pts): it is the better book in a broad semis/defense/gold move and the worse one in a MU-only move. Two legs (MU, BA) sit below the 0.20 delta floor at 0.182 and 0.187; the other five hold it.

Methodology: Black-Scholes ($r=4\%$, $q=0\%$) at entry (46 DTE) for delta/gamma; entry \$/ctr = IBKR SMART mid quote at 2026-10-02 close ×100; scenarios marked Nov 16 '26 by Black-Scholes at 4 DTE using each leg's entry IV (no vol change assumed). Scenario $\sigma = IV \times \sqrt{(42/365)}$. Backtest: IBKR weekly closes, 2-year lookback, overlapping 6-week forward returns, $n=99$ per name. Model code: `memos/ritts_6wk_model_v3.py` (run with argument `v3b`). Not investment advice.